

Dow 36,000

SOMETIMES WHEN EXPERTS make market forecasts, they can be too bearish—meaning they expect market prices to fall and then prices don't in fact fall. Other times, they are too bullish, expecting prices to rise when they don't.

Then there is James K. Glassman and Kevin Hassett. In September 1999, the pair published the book *Dow 36,000: The New Strategy for Profiting from the Coming Rise in the Stock Market*.⁴¹ At the time, the Dow Jones Industrial Average (DJIA) was hanging around 10,000. Their claim was the Dow would more than triple in three to five years.

Instead, the Dow peaked four months later at 11,722 (January 2000); it would soon fall 37.8%. As for the forecast in the book's title, the Dow Industrials eventually crossed 36,000... 22 years later.

“Dow 36,000” has been called the “most spectacularly wrong investing book ever.”⁴² It was not wrong merely because its forecasts were so bad, or its underlying premise was hilariously incorrect (it was), but because its authors got caught up in the mania of the bull market. As it turns out, stocks were not actually “less risky than bonds;” nor were investors “overly cautious in demanding a high-risk premium” for holding equities. The claim that stocks were undervalued for decades was also proven laughable.

As Glassman and Hassett claimed in the book's introduction:

This book will convince you of the single most important fact about stocks at the dawn of the twenty-first century: They are cheap... If you are worried about missing the market's big move upward, you will discover that *it is not too late*.

Narrator: It was way too late.

If you followed the book's advice and bought the Dow in the fall of 1999, you had to wait until 2012 to recover permanently from various drawdowns